KASNEB PASTPAPERS · CPA STUDY MATERIALS

Professional Ethics and Governance

Course: CIFA — Certified Investment and Financial Analysts

Level: Foundation Level

Last updated: 29 July 2026

Syllabus version: Based on the standard KASNEB CIFA Foundation Level Professional Ethics and Governance syllabus topics — professional ethics principles, codes of conduct, and corporate governance fundamentals as they apply to investment professionals. Authored from general ethics and governance knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

> **Original work notice.** Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

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1. What is professional ethics, and why investment professionals need it

Professional ethics are the moral principles governing appropriate conduct within a profession. Investment professionals handle other people's money and confidential information, creating a heightened need for trust — a client, employer or the wider market must be able to rely on an analyst's recommendations and conduct being honest, competent, and free from self-serving bias. Ethical lapses in investment analysis (e.g. recommending an investment purely to benefit the analyst's own undisclosed position) can cause real financial harm to clients and undermine confidence in financial markets generally.

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2. Core principles of a professional code of conduct

Common principles found across professional codes relevant to investment analysts include:

- **Integrity** — being honest and straightforward in all professional dealings.
- **Objectivity** — not allowing personal interest, bias, or undue influence to distort professional judgement or recommendations.
- **Competence and due care** — maintaining the knowledge/skill needed to provide a competent service and acting diligently.
- **Confidentiality** — respecting the confidentiality of client and employer information.
- **Fair dealing** — treating clients fairly, and not favouring some clients over others improperly (e.g. front-running client orders).

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3. Conflicts of interest in investment analysis

A **conflict of interest** arises when a professional's own interests (financial or otherwise) could improperly influence their professional judgement or recommendations. Common examples in investment analysis: an analyst holding a personal position in a security they are recommending; a firm receiving investment banking fees from a company its analysts also cover; personal relationships with company management that could bias objectivity. Conflicts should be avoided where possible, and where unavoidable, must be **disclosed** clearly so clients/employers can judge the recommendation with full knowledge of the potential bias.

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4. Confidentiality and insider information

Investment professionals routinely handle confidential client information and, at times, may come into possession of **material non-public information** ("insider information") about a company. Trading on, or improperly disclosing, material non-public information is both a serious ethical breach and, in most jurisdictions, a criminal or regulatory offence, because it gives an unfair advantage over other market participants who do not have access to the same information, undermining fair and efficient markets.

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5. What is corporate governance?

Corporate governance is the system of rules, practices and processes by which a company is directed and controlled, balancing the interests of shareholders, management and other stakeholders. For an investment analyst, assessing a company's governance quality (board independence, transparency, executive accountability) is itself part of investment analysis — weak governance is a genuine risk factor that can affect a company's valuation and long-term performance, independent of its reported financial numbers.

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6. The board of directors and key committees

A company's **board of directors** provides oversight of management on behalf of shareholders. Key board committees commonly include: the **audit committee** (oversight of financial reporting and external audit), the **nomination committee** (recommending board appointments), and the **remuneration committee** (setting executive pay). **Non-executive directors** — board members without an executive management role in the company — provide independent oversight, balancing the perspective of executive directors who run the business day to day.

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7. Governance codes and regulatory oversight in Kenya

In Kenya, listed companies are subject to governance oversight from the **Capital Markets Authority (CMA)**, which sets out governance codes/guidelines that listed entities are expected to follow, covering board composition, disclosure requirements, and shareholder rights. Compliance with such codes is a signal (though not a guarantee) of lower governance risk, and analysts often factor governance quality into their overall assessment of a company as a genuine investment risk factor.

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8. Ethical decision-making, a structured approach

A structured way to reason through an ethical dilemma:

1. Identify the specific ethical issue and who is affected.
2. Identify relevant facts and the applicable code of conduct principles.
3. Identify possible courses of action.
4. Evaluate each option against the relevant principles, not just convenience.
5. Select and justify the option that best upholds the relevant principles, disclosing conflicts or escalating where genuinely unclear.

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9. Full worked question — analysing a conflict-of-interest scenario

Scenario. An equity analyst at an investment firm personally owns shares in Company X. The analyst is now asked to write a research report recommending whether clients should buy, hold, or sell Company X shares.

Required: (a) Identify the ethical issue. (b) Explain the appropriate course of action.

Solution:

(a) The issue is a **conflict of interest** — the analyst's personal financial position in Company X could bias their professional recommendation, whether consciously or not.

(b) The appropriate course of action is full **disclosure** of the analyst's personal holding alongside the report (so clients can judge the recommendation with knowledge of the potential bias), and, depending on the firm's policy, the analyst may need to be recused from covering that specific company, or required to divest the personal holding before continuing to cover it — the specific remedy depends on the firm's conflict-of-interest policy, but disclosure at minimum is essential regardless of which remedy applies.

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10. Practice examination — KASNEB-style paper (original, not a past paper)

> **Note on format.** This section is laid out the way a KASNEB CIFA examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

CIFA FOUNDATION LEVEL — PROFESSIONAL ETHICS AND GOVERNANCE (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

(a) Explain why investment professionals face a heightened need for professional ethics. *(8 marks)*

(b) Outline FOUR principles commonly found in a professional code of conduct relevant to investment analysts. *(12 marks)*

(Total: 20 marks)

QUESTION TWO

(a) Define "conflict of interest" and outline TWO examples relevant to investment analysis. *(10 marks)*

(b) Explain why disclosure is important where a conflict of interest cannot be entirely avoided. *(10 marks)*

(Total: 20 marks)

QUESTION THREE

(a) Explain what is meant by "material non-public information," and why trading on it is a serious breach. *(10 marks)*

(b) Define "corporate governance" and explain why governance quality matters to an investment analyst. *(10 marks)*

(Total: 20 marks)

QUESTION FOUR

(a) Outline the roles of the audit committee, nomination committee, and remuneration committee. *(15 marks)*

(b) Explain the role of a non-executive director on a company's board. *(5 marks)*

(Total: 20 marks)

QUESTION FIVE

An equity analyst personally owns shares in a company they are asked to write a research report on, recommending buy, hold or sell.

(a) Identify the ethical issue in this scenario. *(4 marks)*

(b) Explain the appropriate course of action for the analyst. *(8 marks)*

(c) Outline the steps in a structured approach to ethical decision-making. *(8 marks)*

(Total: 20 marks)

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11. Marking guide — model answers to the practice examination

QUESTION ONE

(a) *(8 marks)* — Investment professionals handle client money and confidential information, so clients/markets must trust their recommendations and conduct are honest, competent and free from self-serving bias; ethical lapses can cause real financial harm and undermine market confidence.

(b) *(12 marks — 3 marks each)* — Integrity, objectivity, competence and due care, confidentiality (fair dealing also acceptable).

QUESTION TWO

(a) *(10 marks)* — A conflict of interest arises when a professional's own interests could improperly influence their professional judgement; examples: holding a personal position in a recommended security; receiving investment banking fees from a covered company.

(b) *(10 marks)* — Disclosure allows clients/employers to judge a recommendation with full knowledge of potential bias, preserving their ability to make an informed decision even where the conflict itself cannot be entirely removed.

QUESTION THREE

(a) *(10 marks)* — Material non-public information is significant information about a company not yet available to the public; trading on it gives an unfair advantage over other market participants and undermines fair, efficient markets — a serious ethical and often legal/regulatory breach.

(b) *(10 marks)* — Corporate governance is the system of rules/practices/processes directing and controlling a company, balancing stakeholder interests; governance quality matters to an analyst because weak governance (e.g. poor board oversight, weak disclosure) is itself a risk factor that can affect a company's valuation and long-term performance.

QUESTION FOUR

(a) *(15 marks — 5 marks each)* — Audit committee: oversight of financial reporting and external audit. Nomination committee: recommending board appointments. Remuneration committee: setting executive pay.

(b) *(5 marks)* — A non-executive director provides independent oversight, balancing the perspective of executive directors who run the business day to day.

QUESTION FIVE

(a) *(4 marks)* — Conflict of interest — the analyst's personal shareholding could bias their recommendation.

(b) *(8 marks)* — Full disclosure of the personal holding alongside the report, and depending on firm policy, possible recusal from covering the company or a requirement to divest the holding.

(c) *(8 marks)* — Identify the issue and affected parties → identify relevant facts and applicable principles → identify possible courses of action → evaluate each against the relevant principles → select and justify the best course of action.

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12. Exam technique and revision checklist

- Always tie a code-of-conduct principle to a concrete example relevant to investment analysis, not just an abstract definition.
- Conflict-of-interest questions: name the specific conflict clearly, then explain the remedy (disclosure, recusal, or avoidance) rather than a vague "act ethically."
- Insider-information questions: explain both *why* it's unfair (information asymmetry) and its serious consequences.
- Governance questions: always connect governance quality back to investment risk/valuation when asked why it matters to an analyst.
- Board-committee questions: know each committee's specific role precisely — a very commonly and specifically tested point.

Quick revision — one line per topic:

1. Professional ethics: heightened need due to handling client money/confidential information.
2. Code of conduct principles: integrity, objectivity, competence and due care, confidentiality, fair dealing.
3. Conflict of interest: personal interest could bias judgement — remedy is disclosure (and possibly recusal/avoidance).
4. Material non-public information: trading on it is unfair and a serious breach.
5. Corporate governance: rules/practices/processes directing and controlling a company.

6. Board committees: audit (financial reporting/audit oversight), nomination (board appointments), remuneration (executive pay).
7. Non-executive directors provide independent oversight.
8. Ethical decision-making: identify issue/facts/principles → list options → evaluate → decide and justify.

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.